

Fund Liquidity Risk Policy

The Firm's Board-approved rules for identifying, measuring, managing and reporting liquidity risk across its UK-authorised fund range

Firm	Anchorpoint Fund Managers (UK) Limited, FCA Firm Reference Number 700412; Authorised Corporate Director / Manager of the funds listed in the Fund Register maintained under Schedule 2
Document owner	Chief Risk Officer (SMF4 — Chief Risk function)
Individual accountability	The Chief Risk Officer holds the Prescribed Responsibility for the Firm's liquidity risk management framework under SYSC 24, as recorded in the Firm's Management Responsibilities Map and the CRO's Statement of Responsibilities
Approving body	Board of Anchorpoint Fund Managers (UK) Limited, on recommendation of the Liquidity Risk Committee and with prior review by the Board Risk Committee
Version	5.0 — PS26/17 implementation (supersedes v4.2)
Effective date	1 December 2026
Mandatory compliance date	1 February 2027 (FCA PS26/17 / instrument FCA 2026/54 commencement)
Scheduled review	Annually by the Chief Risk Officer, and on any material regulatory change, supervisory finding or liquidity event; next scheduled review December 2027
Classification	Internal — Board, Board Risk Committee, Liquidity Risk Committee and Internal Audit
Regulatory status	This Policy forms part of the Firm's systems and controls for the purposes of SYSC 4.1.1R and evidences compliance with COLL 6.12, COLL 6 Annex 5 and COLL 6 Annex 6
Related policies	Fund Liquidity Risk Procedure · Anti-Dilution Tool Calibration Methodology · Liquidity Metrics Desktop Procedure · Model Risk Policy · Valuation and Pricing Policy · Dealing Error (NAV Correction) Policy · Product Governance Policy · Conflicts of Interest Policy · Outsourcing and Third-Party Risk Policy

Approval history

Version	Date	Approved by	Summary of change
3.0	Mar 2023	Board	Post-2023 FCA multi-firm review remediation: governance and cumulative redemption monitoring strengthened.
4.0	Jun 2024	Board	Consumer Duty alignment; product governance cross-reference added.
4.2	Feb 2026	Board	Housekeeping update following CP25/38 publication; no substantive change pending final rules.
5.0	Dec 2026	Board	Full redraft to implement PS26/17 / FCA 2026/54: mandatory anti-dilution mechanism, calibration on a pro-rata basis, annual retrospective assessment, position-level liquidity classification, unconditional stress testing. This version.

1. Purpose and status

1.1 This Policy sets out how Anchorpoint Fund Managers (UK) Limited ("the AFM", "the Firm") identifies, measures, manages, monitors and reports the liquidity risk of the authorised funds for which it acts as authorised fund manager. It gives effect to the Firm's obligations under the Collective Investment Schemes sourcebook (COLL) as amended by the FCA's Policy Statement PS26/17 *Enhancing fund liquidity risk management* and the accompanying instrument FCA 2026/54 (together, "PS26/17"), and reflects the liquidity risk management recommendations of the International Organization of Securities Commissions (IOSCO, May 2025) and the Financial Stability Board (2023).

1.2 This Policy is a Board-owned governance document within the meaning of SYSC 4.1.1R. It states the mandatory principles governing liquidity risk management. The manner in which those principles are operationalised is set out in the documents at Schedule 1, each of which is approved under the delegated authority in Section 9 and forms part of this Policy by reference.

1.3 This Policy does not itself confer any discretion inconsistent with COLL. Where any provision of this Policy is silent or ambiguous, the Handbook text governs, and the ambiguity is resolved by the Chief Risk Officer and reported to the Liquidity Risk Committee.

2. Definitions

Term	Meaning in this Policy
Anti-dilution tool (ADT)	A dilution levy, dilution adjustment, or, for a dual-priced fund, the allocation of portfolio transaction costs and provision for large deals, within the meaning of COLL 6.3.7AR(2).
Fund	A UK UCITS scheme or non-UCITS retail scheme (NURS) for which the Firm acts as authorised fund manager.
Liquidity Risk Committee (LRC)	The committee constituted under Section 8 of this Policy.
Material risk of dilution	The threshold, set for each fund under Section 6, above which the AFM must apply an anti-dilution tool.
One-day capacity	The value of a position that can be liquidated in one business day without a price concession beyond the effective quoted spread, as defined in the Anti-Dilution Tool Calibration Methodology.
Redemption Coverage Ratio (RCR)	The ratio of a fund's liquidation capacity at a given horizon to its assumed redemption and non-redemption liquidity demand at that horizon.
Retrospective assessment	The annual assessment required by COLL 6.3.8BR.
Vertical slice / pro-rata basis	The calibration basis under which the estimated cost of a fund flow is computed as if a pro-rata share of every position in the portfolio were transacted, irrespective of which assets are in fact sold or bought.

3. Scope

3.1 The Firm manages a UK-authorised fund range of approximately £210 billion across 62 funds, spanning UK and global equity, fixed income (government, investment grade, high yield and emerging market debt), multi-asset, money market, and real asset strategies, as part of Anchorpoint Global Asset Management's broader USD 1.2 trillion group platform. This Policy applies without exception to:

- (a)** every UK UCITS scheme and NURS for which the Firm acts as authorised fund manager, regardless of asset class, dealing frequency, base currency or pricing basis (single or dual-priced);
- (b)** every share class and every category of investor within those funds, including institutional, platform-distributed and directly-held retail holdings;
- (c)** the Firm's oversight of any portfolio management function delegated to a group entity or third-party investment manager under COLL 6.6.4R and the Outsourcing and Third-Party Risk Policy; and
- (d)** the Firm's interaction with each fund's depositary in respect of liquidity risk management.

3.2 Regulated money market funds are within the scope of this Policy but are subject to a materially narrower rule set pending replacement of the UK Money Market Funds Regulation. The scope carve-out is set out fund by fund in Schedule 3 of the Fund Liquidity Risk Procedure and must not be inferred from a fund's name, marketing description or investor base.

3.3 This Policy does not apply to unauthorised alternative investment funds or to any mandate managed on a segregated (non-pooled) basis; liquidity risk in such arrangements is governed by the applicable Investment Management Agreement and the Firm's Alternative Investment Fund Manager liquidity risk framework, which is outside the scope of this document.

4. Regulatory basis

Source	What it establishes
SYSC 4.1.1R, SYSC 4.1.2R	The Firm must have robust governance arrangements, effective risk management processes, and adequate internal control mechanisms; this Policy is a primary evidencing document.
SYSC 24 and SM&CR	Individual accountability for the liquidity risk framework rests with the Senior Manager holding the relevant Prescribed Responsibility (Section 8.5).
PRIN 2A (Consumer Duty)	The products and services, and price and value, outcomes require that liquidity risk management does not result in products failing to meet a reasonably foreseeable need, or in unitholders paying more than the fair value of the service received; anti-dilution calibration is a direct control for both outcomes.
COLL 5.2, 5.6	Eligibility and eligible-market requirements for transferable securities, including the ongoing assessment of a security's liquidity risk (the "listed asset presumption" was removed by FCA 2026/54).
COLL 6.3.7AR – 6.3.8CG	The mandatory anti-dilution mechanism, its calibration, the annual retrospective assessment, and fair treatment between dealing and remaining unitholders.
COLL 6.6.3R(5)	The conflict of interest between redeeming and remaining unitholders.
COLL 6.12.11R and COLL 6 Annex 6	Mandatory liquidity stress testing under normal and exceptional conditions, and the UK liquidity stress testing guidelines.
COLL 6 Annex 5	Guidance on an effective liquidity risk management system: bucketing, thresholds, governance, tools, non-redemption pressures.
IOSCO (May 2025) and FSB (2023)	The international recommendations PS26/17 implements; treated as persuasive good practice where they extend beyond Handbook text.

5. Liquidity risk appetite statement

THE FIRM HAS NO APPETITE FOR

- (a)** a fund whose redemption terms are not aligned with the liquidity of its portfolio, at product design or at any time thereafter;
- (b)** meeting redemptions in a manner that leaves remaining unitholders with a portfolio materially more illiquid, relative to its stated strategy, than the one they invested in;
- (c)** an anti-dilution mechanism that is unavailable, uncalibrated, calibrated without reference to market impact, or capped at a level below that needed to protect unitholders in stressed conditions;
- (d)** a liquidity classification, calibration parameter, or stress test result determined or overridden by a function that is not independent of portfolio management;
- (e)** suspension of dealing as anything other than a measure of last resort, applied only where no other tool available to the fund can adequately protect unitholders' interests; and
- (f)** a breach of this Policy that is not reported through the process at Section 10.

5.1 Within that constraint, the Firm accepts that funds will, by design and disclosure, differ in the liquidity of the assets they hold, provided the redemption terms, anti-dilution mechanism and liquidity buffer of each fund are calibrated to that fund's own liquidity profile and investor base, and not to a standard applied uniformly across the range.

5.2 Appetite is monitored through the metrics and thresholds in Section 7 and reported to the LRC and the Board in accordance with Section 11. A metric outside its threshold is a breach of appetite and is escalated under Section 10 irrespective of whether it also constitutes a regulatory breach.

6. Core principles

6.1 Alignment

6.1.1 The investment strategy, the liquidity profile of the portfolio, and the redemption policy of every fund must be consistent, both at product design and on an ongoing basis. A material exposure to inherently illiquid assets in a fund dealing daily without a notice period or equivalent restriction is presumed not to be aligned, and that presumption may be rebutted only by the Board on an exceptional, documented basis.

6.2 Fair treatment through cost attribution

6.2.1 The costs a fund incurs converting assets to cash to meet subscriptions and redemptions must be borne by the unitholders whose dealing causes them, not by unitholders who remain invested. This is achieved through the anti-dilution mechanism, calibrated on the basis set out in the Anti-Dilution Tool Calibration Methodology.

6.2.2 The Firm recognises this as a standing conflict of interest between unitholders wishing to redeem and unitholders wishing to remain invested, within the meaning of COLL 6.6.3R(5). This conflict is not treated as arising only on the occurrence of an event; it exists at every valuation point of every fund, is recorded on the Firm's conflicts register on that continuing basis, and every anti-dilution decision record confirms that it was considered.

6.3 Every fund has a working anti-dilution mechanism

6.3.1 Every fund has an anti-dilution mechanism appropriate to its pricing basis, available for use at every valuation point, and used whenever dilution poses a material risk to unitholders. Possession of the mechanism is not discretionary. Its activation on a given day, and its calibration, are exercised through the governance in Section 8 and are subject to the maker-checker control in Section 9.3 of the Fund Liquidity Risk Procedure, because the mechanism directly determines the price paid or received by an investor.

6.4 Liquidity is measured position by position

6.4.1 Liquidity is a property of an individual holding at a given trade size, not of an asset class, sector or sleeve. The Firm classifies and monitors liquidity at position level for every fund and does not rely on asset-class averages, index membership, or admission to a trading venue as a substitute for that assessment.

6.5 Stress testing is continuous, not episodic

6.5.1 Every fund is stress tested at least quarterly, under both normal and exceptional conditions, on both the asset and liability sides of its balance sheet, including margin and collateral obligations arising from derivatives and financing transactions. Reverse stress testing is performed for every fund and is not treated as optional or performed only where "appropriate".

6.6 Escalation is designed before it is needed

6.6.1 Liquidity management tools are used in the defined order at Section 12 of the Procedure. Thresholds, escalation triggers, and the circumstances warranting a change in governance cadence are set in advance in the Limit Register and require no further authorisation to invoke.

6.7 Governance sees the whole fund

6.7.1 Liquidity risk management is integrated into the Firm's permanent risk management function, with standing representation from risk, portfolio management, trading, fund operations, distribution and compliance, because no single function sees both what a fund holds and who is likely to redeem it.

7. Risk metrics and thresholds

7.1 The following metrics are calculated for every fund in accordance with the Liquidity Metrics Desktop Procedure and are reported through the MI in Section 11. Fund-specific thresholds are set by the LRC and recorded in the Limit Register; they may not be set, or varied, by any individual acting alone.

Metric	Minimum standard (fund-specific thresholds may be more conservative)
Liquidity bucket profile (L0–L4)	Minimum L0+L1 and L0–L2 holdings, and a maximum L4 holding, set per fund proportionate to its redemption profile.
Maximum single-position days-to-liquidate	No position may exceed the fund-specific limit without an open, owned remediation action.
Redemption Coverage Ratio	Not less than 1.5× at the 1, 5 and 20-day horizons, normal and stressed, combined with non-redemption liquidity demand where applicable.
Reverse stress test break point	Compared at every quarterly cycle against actual investor and distributor concentration; a break point below that concentration is a standing escalation, not a one-off finding.
Anti-dilution stressed calibration vs. prospectus maximum	The stressed calibration must not exceed any disclosed maximum; where it does, this is escalated to the prospectus review workstream and the Product Governance Committee.
Non-redemption liquidity coverage	Available eligible liquid assets and collateral must cover modelled stressed margin and collateral demand at the fund's stress horizon.

8. Governance

8.1 The **Liquidity Risk Committee**, chaired by the Chief Risk Officer, is the standing body responsible for the oversight of liquidity risk across the fund range. Its membership, remit, quorum, meeting cadence and escalation triggers are set out in its Terms of Reference, issued under the authority of this Policy.

8.2 The LRC meets monthly as a minimum and moves to a daily standing call, without further authorisation, on any trigger set out in the Fund Liquidity Risk Procedure.

8.3 The LRC approves the anti-dilution parameter schedule, fund-level liquidity thresholds, and the stress testing scenario library, and any change to them. No individual, including the Chief Risk Officer acting alone, may approve a change to a live calibration parameter outside a scheduled LRC decision, save under the emergency authority in Section 10.4.

8.4 The LRC owns the annual retrospective assessment of anti-dilution decisions required by COLL 6.3.8BR and ensures identified calibration weaknesses are corrected within the period set at Section 11.3.

8.5 The AFM Board retains ultimate accountability for the Firm's liquidity risk management framework. The Chief Risk Officer, as holder of SMF4, holds the Prescribed Responsibility for that framework under SYSC 24.2A and is individually accountable to the Board and to the FCA for its operation, and for the accuracy of information provided to the Board and the regulator in respect of it. The Board considers explicitly, at least annually, whether the framework remains adequate and is operating in unitholders' best interests, and that consideration is minuted as a discrete agenda item, not inferred from receipt of a report.

8.6 Portfolio management is the primary safeguard of fund liquidity, responsible for ensuring investment decisions keep each portfolio's liquidity profile consistent with its redemption terms. It provides input to liquidity classification and calibration but does not determine either; determination is a Risk function responsibility, independent of portfolio management, in accordance with COLL 6 Annex 6.14(2).

9. Delegated authority

9.1 The Board delegates to the Chief Risk Officer the authority to approve, and to require amendment of, the documents listed in Schedule 1, provided that no such document may be inconsistent with this Policy, and any material amendment is reported to the Board Risk Committee at its next meeting.

9.2 The Chief Risk Officer may sub-delegate operational authority to the Head of Liquidity Risk as set out in the Fund Liquidity Risk Procedure. Sub-delegation does not transfer the Prescribed Responsibility at Section 8.5, which remains with the Chief Risk Officer.

10. Breaches, escalation and waivers

10.1 Any breach of this Policy, any threshold in the Limit Register, or any deadline in Schedule 1's documents is recorded on the Firm's Risk Event Log within one business day of identification, regardless of materiality, and is assessed by the Head of Liquidity Risk for regulatory notification implications in conjunction with Compliance.

10.2 A breach classified as material — including any breach that has, or could reasonably be expected to have, an adverse effect on the fair treatment of unitholders — is escalated to the Chief Risk Officer within four hours of identification and to the Chair of the Board Risk Committee within one business day.

10.3 No provision of this Policy may be waived except by the Board, on a written, time-limited basis, with the reasons recorded and reported to the FCA where required by Principle 11 or SUP 15.

10.4 In an emergency where a decision under Section 8.3 cannot practicably await a scheduled LRC decision, the Chief Risk Officer may approve an interim change to protect unitholders, provided it is ratified by the LRC within five business days and reported to the Board Risk Committee.

11. Records and reporting

11.1 The Firm retains records of every liquidity risk management decision, model parameter set, classification, stress test and resulting action for a minimum of six years, in a form that allows the FCA to be provided with the relevant information on request, consistent with SYSC 9.1.1R.

11.2 Management information on the liquidity position of every fund is produced daily for internal use, reported to the LRC monthly, and reported to the Board semi-annually, in the formats specified in the Fund Liquidity Risk Procedure.

11.3 Findings from the annual retrospective assessment are actioned within 90 days of Board approval of the assessment, or escalated as a control weakness if that is not achievable.

12. Review of this Policy

12.1 This Policy is reviewed at least annually by the Chief Risk Officer and approved by the Board, and immediately following any material regulatory change, adverse supervisory finding, internal audit finding, or liquidity event affecting the Firm or a comparable manager.

SCHEDULE 1 – DOCUMENTS ISSUED UNDER THIS POLICY

Document	Covers
Fund Liquidity Risk Procedure	Process, cadence, ownership, maker-checker controls and escalation mechanics for every obligation in this Policy.
Anti-Dilution Tool Calibration Methodology	The calculation method for swing pricing, dilution levies and dual-pricing adjustments; submitted to Model Validation as a Firm model under the Model Risk Policy.
Liquidity Metrics Desktop Procedure	Step-by-step instructions, with worked examples, for calculating every liquidity metric this Policy requires.
Liquidity Risk Committee Terms of Reference	Membership, cadence, escalation triggers, standing agenda, quorum.
Suspension Contingency Plan	The playbook for suspension of dealing, including contagion management and FCA/investor notification.

SCHEDULE 2 – FUND REGISTER

The current list of funds in scope of this Policy, their pricing basis, dealing frequency and liquidity risk classification (Standard / Enhanced Monitoring / FIIA), is maintained by the Head of Liquidity Risk and is available on request. It is not reproduced here to avoid this Policy requiring re-approval on every product launch or closure.

Approved on behalf of the Board of Anchorpoint Fund
Managers (UK) Limited

Chair, Board Risk Committee

Chief Risk Officer (SMF4)

This Policy and the documents issued under it are internal governance instruments. The Handbook provisions of COLL as made by FCA 2026/54 remain the source of legal obligation; this Policy is drafted to be consistent with them as at its effective date and is not a substitute for the FCA Handbook.